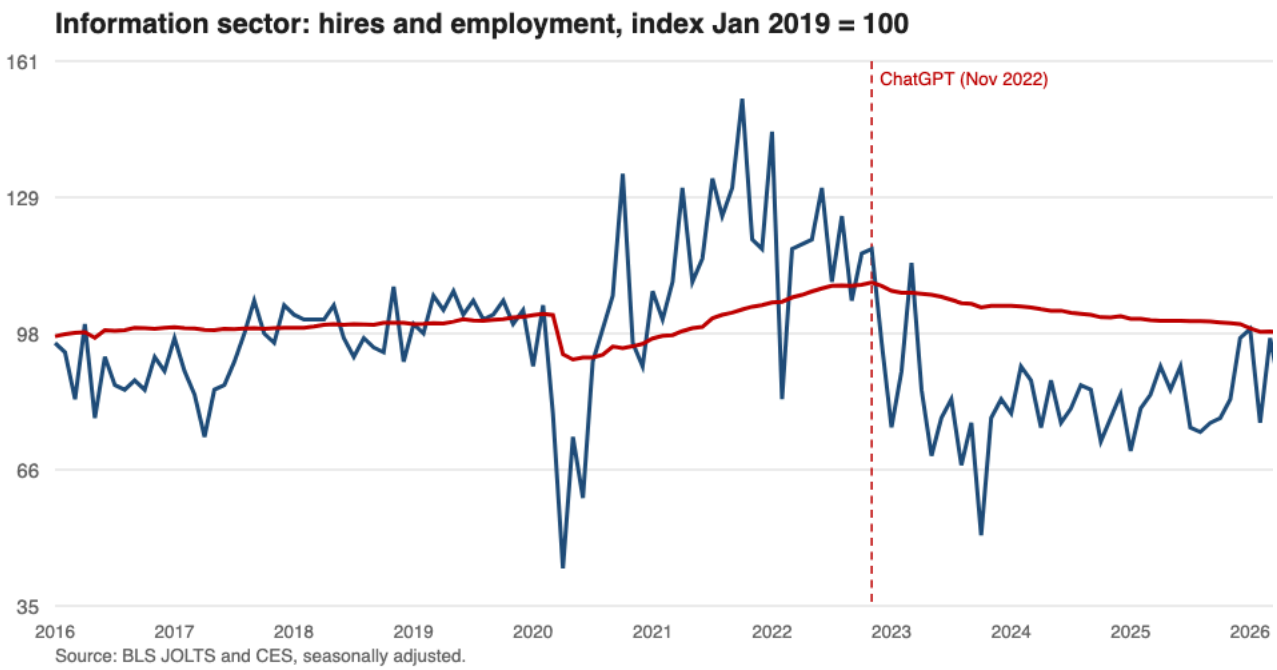
The AI jobs number nobody is watching

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You have heard the big number. Somewhere between 40 and 80 per cent of jobs are "exposed" to artificial intelligence, depending on which index you read. The number is real. It is also a measure of what a model can do, not of what any employer did.

I spent the past year looking at what employers did. The answer is narrower and more useful than the headline: in the sector that builds the technology, the job losses did not come from firing anyone. They came from not hiring.

381,000 jobs, almost no layoffs

The U.S. information sector — software, telecom, media, data — peaked at 3.1 million jobs in November 2022, the month ChatGPT was released. By October 2026 it had lost 381,000, about 12 per cent.

You would expect a wave of layoffs. The government's turnover data says otherwise. Layoffs in the sector averaged 49,000 a month in 2026, up from 33,000 before the pandemic but nowhere near the 191,000 of March 2020. Quits fell to 34,000 a month, 23 per cent below their pre-pandemic norm, because the destination jobs disappeared.

What actually happened is simpler. The sector stopped replacing the people who left. Hires fell from 140,000 a month in October 2021 to about 80,000 in 2026, a 33 per cent decline. Net of separations, the sector has been losing about 10,000 workers a month for four years.

The tell is in the timing

Here is the part that should change how you read the debate. Hiring peaked in October 2021. That is thirteen months before employment peaked, and thirteen months before ChatGPT existed in public form.

If AI were substituting for junior workers, the hiring freeze should begin when the technology arrives. It began more than a year earlier, in the same quarter that the Federal Reserve started signalling it would raise interest rates. Firms facing a higher cost of capital cut discretionary spending first, and hiring is discretionary spending.

None of this proves AI had no effect. It does mean the simplest story — the technology shipped, the jobs went — does not fit the sequence of events.

Companies that talk about AI are hiring more, not less

If the sector-level story is ambiguous, the firm-level story is more surprising. I pulled 643 annual reports from a random sample of 106 S&P 500 companies and counted how often they mention AI.

The share mentioning it went from 38 per cent in 2021 to 95 per cent in 2025. So the talk is universal. What does it predict? Within the same firm, over time, more AI language in the annual report is followed by slightly *faster* headcount growth — about 1.25 percentage points per standard deviation — after controlling for revenue.

And revenue per employee? It falls. Firms that write more about AI add workers faster than they add revenue. That is what an investment phase looks like. If machines were replacing people, revenue per employee would go up, not down.

I should be careful here. This is a correlation. A company that expects to grow might both hire and boast about AI. The paper says so explicitly, and it is the first thing I would fix with more data.

What to watch instead

If firing is not the mechanism, then the unemployment rate is the wrong dashboard. A hiring freeze barely moves unemployment for a year or two. It shows up first in the entry-level job market, and that is where the personal damage is concentrated: the graduate who cannot get a first job does not appear in a layoff statistic at all.

The statistic that would catch this is the entry-level share of new hires in exposed occupations. Nobody publishes it, which is the subject of a short policy brief I wrote alongside the papers. Five numbers would settle the question, and none of them require a new exposure index.

There is a version of this story in which AI quietly reduces opportunity for young workers for years while the headline unemployment rate stays at four per cent. That is not a prediction. It is the failure mode the data would not show us in time.

The numbers are in three papers and a brief, all open, with the code that produces every figure. The point is not that AI is harmless. It is that the argument has been conducted with a statistic that cannot answer it, and the statistic that can — who gets hired — is the one we are not collecting.

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